

PROPERTY MANAGEMENT · REFERENCE

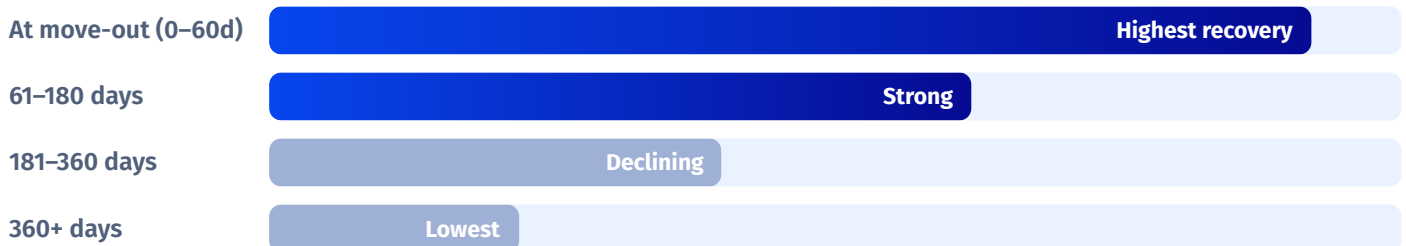
The Cost of Delayed Placement

Why unpaid-rent and eviction balances recover far better when placed at move-out

In property management, the age of a balance is the strongest predictor of whether it is ever recovered. The window between a tenant's move-out and the day the account is placed determines how much of that unpaid rent, damage and fees you actually collect — and it closes faster than most operators expect.

Recovery falls as accounts age

Former tenants move, change numbers, and — sometimes deliberately — become hard to find. Every week that a balance sits, the contact data goes staler, the tenant disengages, and the statute-of-limitations clock keeps running. The pattern below is typical and relative: recovery is highest right after move-out and declines steadily thereafter.



Illustrative and relative — actual recovery varies by balance size, documentation and contact-data quality. Southwest Recovery does not promise a fixed recovery percentage and will give an honest read on a representative sample first.

Why the curve drops

- **Contact data goes cold.** The forwarding address and phone on the lease decay quickly once a tenant leaves — the leading reason post-move-out balances go uncollected.
- **Skip tracing gets harder.** A fresh trail is easier to follow; an old one means more sources, more effort, and lower hit rates.
- **The tenant disengages.** A recent balance still carries context and urgency; an old one feels disputable or forgotten.
- **The SOL clock runs.** In Texas the statute of limitations on this debt is four years — and it cannot be revived by a payment. Aged accounts can lose the option of legal escalation entirely.

The early-placement advantage

Placing balances at move-out — individually or as a bulk export from your property-management software — puts the full recovery toolkit to work while it still bites:

- Daily, Experian-powered skip tracing to locate tenants while the trail is fresh.
- Credit-bureau reporting to all three bureaus — a tradeline that follows the tenant to their next lease.
- Structured payment plans a former tenant can realistically honor.
- Pure contingency — no upfront cost, so there is no reason to let a balance age.

What to do with the backlog

Placing early does not mean writing off older accounts. Aged balances should still be placed — skip tracing and a credit tradeline recover a meaningful share, and on contingency there is no cost to trying. The point is simpler: the sooner an account is placed, the more comes back. Tightening the placement window on *current* move-outs is the highest-leverage change most operators can make.

A practical starting point

- Place a test batch of recent move-outs to see the model work.
- Place the aged backlog in parallel for skip-traced, credit-reported recovery at no upfront cost.
- Measure recovery by placement age — the gap makes the case for placing at move-out, permanently.

Put a number on your window

We will review a representative sample of your ledger and give you an honest, age-based read on what is recoverable — and what earlier placement would add.

Call (866) 551-4684 · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Recovery figures are illustrative and vary by portfolio. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.